Manufacturers to the world

Fewer and fewer famous brands actually make what they sell. With protection laws in place, companies have begun to outsource. And it is here that Electronic Manufacturing Service companies are playing a stellar role, says M.L. Tandon, Head of Celetron India.

"NOKIA does not make the cell-phones that we carry around. It is the EMS (Electronic Manufacturing Services) companies that do the job for the company," says **Mr M.L. Tandon, Head of Celetron India,** *a fast-expanding EMS company located at the SEEPZ Special Economic Zone in Mumbai which is hopeful of becoming a billion-dollar hardware firm.*

Not many would, perhaps, be aware of the stellar role that EMS companies play in the making of the modern world. These companies provide vital inputs to almost all modern gadgets that one uses.

Highly technical in nature and usually away from the public glare, these companies have been silently making a mark in the global market. One such company is Celetron India.

Celetron exports PC components such as power supply, head stacks for disk drives and memory cards, with a profit margin that has entered the rarefied 12 per cent region.

In an interview with **Business Line,** *Mr Tandon speaks about the EMS sector and his company's future plans. Excerpts:*

What role is the EMS industry playing in driving modernisation?

Today, we are all very familiar with modern gadgets that define urban and modern living, such as the Palm PDA, the Nokia cell-phone, the IBM notebook and the Microsoft Xbox. These are high-technology gadgets and the brands are ubiquitous, but what many people might not know is that these products are manufactured not by the companies themselves but by a global industry called the EMS industry.

EMS can be termed manufacturers to the world. Fewer and fewer famous brands actually make what they sell. Previously, technology was not accessible but with protection laws in place, companies have begun to outsource. Manufacturing for these companies is becoming capital- and labour-intensive.



What are the advantages that EMS companies provide to the manufacturing companies?

Many advantages. These include rapid time to market as product lifecycle shortens, rapid time to higher volume, sharing of components, asset deployment flexibility, leading-edge manufacturing with reduction in costs, significantly reduced need for capital and provision of buffer to demand fluctuations in the user industry.

Can you tell us something about the evolution of the EMS industry?

The EMS industry has evolved from small- and medium-enterprise entrepreneurs, commonly referred to as contract manufacturers, to large service providers. Till the 1980s, the contract manufacturers limited their scope to a few specific functions, such as board stuffing. Over the years, the digital revolution expanded and demands from the consumer, telecom, computer and network companies increased significantly. As a result, these contract manufacturers started receiving more and more projects and indulging in end-to-end services.

How did the consolidation take place?

The 1990s can be termed as the decade of acquisitions for the EMS industry, as growth through acquisition was a strategic route adopted by the companies. Today, consolidation is in the form of larger EMS entities acquiring smaller competitors and buying their consumers' factories at low prices.

Could you tell us something about the global EMS scenario?

The technology levels are high in companies catering to consumer electronics, communications, industrial electronics and networking and are by far the highest in medical electronics, automotive electronics and avionics industry.

A significant development has been that China has moved ahead because of the vast infrastructure availability; it is to be noted here that China has over 500 SEZs today while India has four.

What about the Indian scenario?

In the EMS sector, India can become the preferred alternative and thus emerge as a strong contender in the global market. I feel that Indian companies should equip themselves with technology, be well versed in design, new product innovation and complex technology. We need to avoid duplication of products and inculcate better financial discipline. Trust and transparency in EMS operations will bring increased confidence in outsourcing relationships. If these steps are taken, India stands the chance of becoming a global player in the world trade of electronics and information technology, which is projected to have an estimated market size above the $1-trillion mark by 2008.

What are Celetron's plans?

We are expanding capacity to meet local demand. The Indian arm exports PC components, such as power supply products, head stacks for disk drives and memory cards. We plan to expand capacities, and we are in the process of setting up a production facility in Pondicherry. We hope to touch revenues of $1 billion from the domestic market and from exports. — **Our Special Correspondent**

Setting standards

Increasing consumer awareness on the quality of diamond products and the trend of giving consumers more value for money have fuelled the growth of diamond certification in the country.

THE Indian diamond-studded jewellery industry, which has already carved out a glowing presence in the global market, is now acquiring a new dimension: diamond certification.

Increasing consumer awareness regarding the quality of diamond products and the trend of the industry to provide more value for money to consumers in a competitive regime have fuelled the growth of this barely five-year-old phenomenon of diamond certification in India. And indication of the growing trend can be had from the figures compiled by the Gem and Jewellery Export Promotion Council (GJEPC).

the first diamond certification lab in the country in 1998, certified 500 stones that year, but now it does the same number in a month. The International Gemmological Institute (IGI), which set up shop in Mumbai a year later, has a daily business of

come in this regard in the coming years given the mammoth size of the Indian jewellery industry," says a market analyst.

Another factor that has added momentum to the trend towards certification is growing exports, especially in the product range of

moorings in the global market, the industry found that it could no longer afford to ignore the requirements of overseas buyers, who earlier had to often go through a winding process of purchasing stones in India and taking them back for certification.

Points out a market analyst: "Imagine, the largest diamond manufacturing and exporting country did not have even a single certification lab of its own. But today, with the labs here, the cost of certification has come down significantly, apart from resulting in saving time."

According to an official of GJEPC, currently stones from India are being certified to 20 points and upwards, while the

carats. This trend clearly mirrors the maturing of the Indian jewellery market, with the foray made by De Beers resulting in the rise of brands and branded jewellery. In fact, the number of persons trained by GII during its three decades of existence is estimated to be about 5,000, which clearly reflects the increasing demand for such courses.

It was actually IGC that started the trend for diamond certification in India, when it set up the first lab in India in 1998. "Back then all the diamond certification market needed was identification and someone to follow it up. In 1988, we certified 500 stones. Today, we are doing 500 in a month," says an official of IGL, which has now changed its identity to EGL (European Gemmological Laboratory).

While GII started diamond certification in India in 2000, IGI's

reputed institution worldwide, the other three being in Antwerp, New York and Bangkok. "We had started with three gemmologists, but today we have 85 trained professionals. In fact, in October last year, our turnover was equal to our entire annual turnover three years ago. We are now in process of setting up a station with a complete team of gemmologists at the SEEPZ Special Economic Zone," according to an official of IGI.

Rapaport, which came into India a little over 19 months ago, represents the renowned Gemmological Institute of America — it sends the stones to its labs in California and New York. "Initially clients were hesitant because of the time taken, which was about three weeks, but in recent months there has been good response," says an official of the institute.

However, the gemmological laboratories do have some

— this relates to the threat posed by synthetic stones and artificial treatment of diamonds.

"Here an important requirement is research and development. The existing laboratories also have to upgrade themselves in technological terms," says a trader. The other concerns relate to certification of jewellery (or mounted stones) and absence of outside supervision over the laboratories.

Notwithstanding these concerns, industry analysts are bullish about the growth of the certification market, with some predicting that the growth of this market in India will outdistance other overseas market.

"Five years down the line, the majority of stones in retail stores will all be certified. We should focus on setting up new certifications laboratories, as the existing ones may not be sufficient to brook the growth in demand